EXECUTIVE SUMMARY

1. Introduction

The township of Aparri,Cagayan is a busting first class municipality located at the northernmost tip of Luzon Island 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River diving it into two geographic areas – Aparri East and Aparri West. The municipality is composed of 42 barangays sprawled within its 27,600.88 hectare land area with a population of 65,649 inhabitants. The town proper is made up of 15 Centro block units, the rest in its immediate environs and the west barangays including the island of barangay Fuga.

Farming and fishing are the people's main source of livelihood. The vast fertile agricultural land produces abundant quantity of rice, corn, vegetable and legumes. The gently rolling hills are dotted with fruits bearing trees and an excellent grazing land for livestock. Fishing and fish processing are vital industries. The bodies of water around and within Aparri are teemed with fishes and other marine resources. Nipa shingle sewing and wine-making are thriving enterprises in the western barangays where nipa palm trees abound.

The strategic location of Aparri makes it a legitimate convergent zone. Since Spanish times, the town had already been the trade and commercial center in Northern Cagayan. It is also the hub and heart of education and learning, finance and institutions in region. The presence of education institutions of higher learning, banks and other financial establishments and national government agencies magnetize people from other municipalities and locations to Aparri.

In the passing times, Aparri has evolved from its lowly status to its current highly esteemed standing as the premiere municipality in Northern Cagayan. The institution of responsive and committed local leadership had merited numerous local and national awards and commendations for the municipality and its people in the realm of local governance of Aparri was empowered by the Civil Service Commission through its Local Chief Executive – Mayor Shalimar D. Tumaru, M.D. to take final action on the appointments of LGU Aparri personnel.

The municipal government was not only concerned of the material welfare and benefits of the people. It earnestly endeavored for the social and cultural transformation of the populace by adopting character traits for each month of the year – virtues which every Aparriano ought to internalize and exhibit in life. These are: discipline, loyalty, gratefulness, forgiveness, hospitality, determination, cleanliness, patience, responsibility, faith, resourcefulness and benevolence. This scheme had evolved Aparri into a TOWN OF CHARACTER.

Indeed the once obscure town from the North known only because of the popularity of the mapping phrase "from Aparri to Jolo" has gained national fame and

prominence. This was made possible because of the unselfish support and cooperation of Aparrianos themselves to their duly constituted local authorities.

The audit covered the accounts and operations of the Municipality of Aparri for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and finds were utilized in the most efficient, effective and economical manner. Financial and performance audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P603,373,979.74, P98,002,838.03 and P505,371,141.71, with an increase of 17.89%, 5.03% and 20.76%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P197,712,108.15 and P114,244,926.65, which increased by 12.07% and decreased by 3.04% respectively from last year's figures.

Particulars	2017	2016	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	603,373,979.74	511,811,904.45	91,562,075.29	17.89
Liabilities	98,002,838.03	93,313,326.71	4,689,511.32	5.03
Govt. Equity	505,371,141.71	418,498,577.74	86,872,563.97	20.76
Financial Performance				
Income	197,712,108.15	176,419,851.93	21,292,256.22	12.07
Expense	114,244,926.65	117,826,852.71	(3,581,926.06)	(3.04)
Appropriations, Allotments and Obligation				
Appropriations	244,684,890.00	171,963,860.00	72,721,030.00	42.29
Allotments	244,684,890.00	171,963,860.00	72,721,030.00	42.29
Obligations	107,825,766.37	99,265,497.71	8,560,268.66	(8.62)

3. Independent Auditor's Report on the Financial Statements

We rendered an unqualified opinion on the fairness of the presentation of the financial statements of the Municipality of Aparri, Cagayan as at December 31, 2017.

4. Summary of Significant Audit Observations and Recommendations

4.1 The unexpended balance of the 2017 LDRRMF appropriation in the amount of P25,733,414.88 was not transferred at year-end to the Special Trust Fund under the account Trust Liability-DRRM in the Trust Fund books which is contrary to COA Circular No. 2012-002.

We recommended that the Municipal Accountant transfer at year-end the unexpended balance of the QRF and DRRMF-MOOE to the Special Trust Fund under the account "Trust Liabilities-DRRMF" in the Trust Fund books pursuant to COA Circular No. 2012-002.

4.2 Of the thirty seven (37) planned programs and projects funded out of the 20% Local Development Fund, only four (4) were fully completed as of December 31, 2017, hence, socio-economic benefits and services due to the Municipality's constituents were delayed.

We recommended that Management fast track the implementation of all the unimplemented programs and projects of the LGU and ensure that future projects to be included in the Annual Investment Plan are implemented as scheduled.

4.3 Procurement charged to gasoline, oil, and lubricants expenses for CY 2017 in the total amount of P1,535,863.11 were not supported with the standard form and fully accomplished Driver's Trip Ticket and Monthly Report of Fuel Consumption for which was not submitted to the Auditor which is not in accord with COA Circular No. 77-61, hence the propriety of the disbursements is doubtful.

We recommended that the General Service Officer (GSOO – Designate and the Municipal Accountant ensure that the standard form be used, fully accomplished and serially numbered Driver's Trip Ticket. Moreover, the GSO-Designate should submit the Monthly Fuel Consumption Report to the Auditor within ten (10) days of the succeeding month in compliance with COA Circular No. 77-61.

4.4 The payment to the contractor of 15% mobilization amounting to P52,032.20 for the LGU's water system at Barangay Toran, Aparri, Cagayan was not supported with an irrevocable standby letter of credit/security bond/bank guarantee as prescribed under Section 9.1.1.1 of COA Circular No. 2012-001.

We recommended that the Municipal Accountant ensure that supporting documents of the disbursement vouchers are complete to prove the validity and

legality of the claims and to avoid the suspension/disallowance of the transactions.

4.5 The Municipality complied with the five percent Gender and Development (GAD) allocation of P9,270,958.50 in its CY 2017 budget. However, P3,247,738.94 or 35% thereof was not utilized.

We recommended that the Local Chief Executive (LCE) instruct the GAD Focal Point/Person to submit the GAD Plan and Budget to the DILG for approval as early as January of every year to allow the full implementation of the Programs, Activities and Projects (PAPs) within the budget year.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	685,833.50	23,001.86	708,835.36	-	100
Current Years	-	-	-	-	-
Total	685,833.50	23,001.86	708,835.36	-	100
Disallowances					
Prior Years	1,515,305.33	1,070,177.88	2,430,152.99	155,330.22	94
Current Years	-	-	-	-	-
Total	1,515,305.33	1,070,177.88	2,430,152.99	155,330.22	94
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Audit Recommendations

Of the ten (10) audit recommendations of prior year's report, six (6) were fully implemented, three (3) were partially implemented and the remaining one (1) was not implemented as of the year-ended.